



NITI Aayog

DRAFT



Sector at a glance

Tourism

An Overview

2023-Tourism-SAG-01

DRAFT

Sector at a glance

Tourism

Tourism in India

The 'Sector-at-a-Glance' provides an easy-to-read overview for anyone looking to develop a basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices where available from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, and government initiatives being undertaken in the sector. Finally, a 'Way Forward' section sets out the major developments that will shape the future of the sector.

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Overview

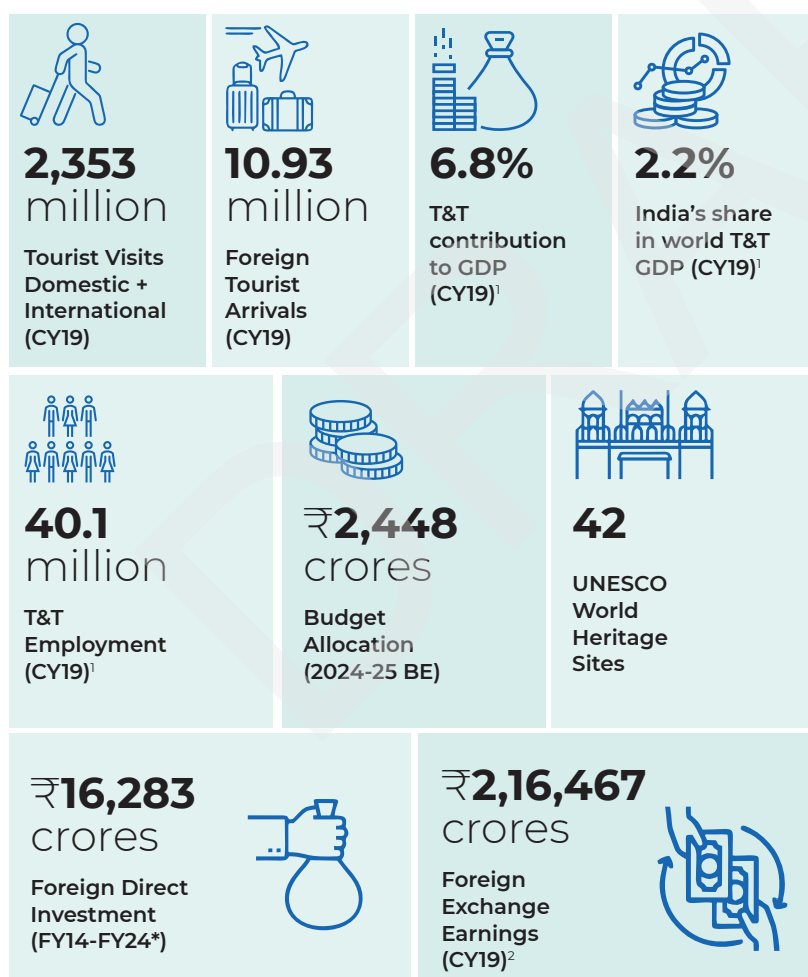


The tourism sector plays a pivotal role in a country's economic growth and development, serving as a significant contributor to employment generation. Beyond its economic impact, tourism also holds intangible benefits, fostering cultural understanding and exchange.

The travel and tourism sector contributed **\$194¹ billion** to **India's GDP**, accounting for **6.8%¹ share**, ranking it **10th** globally.

It accounted for **40¹ million jobs**, accounting for **8% share** in employment.

Figure 1: Snapshot of India's Tourism Industry



Its contributions extend beyond the direct generation of GDP and employment opportunities, impacting a nation's balance of payment through foreign exchange earnings from international tourist arrivals. Beyond economic facets, the industry serves as a catalyst for diversifying economies, fostering cultural exchanges, strengthening diplomatic ties, and enhancing people-to-people connections on the global stage. Additionally, it contributes to the elevation of a nation's global image, supporting local communities and economies, while simultaneously enriching the lives of tourists through a myriad of experiences that transcend mere leisure. The multifaceted impact of sector underscores its significance as a transformative force with far-reaching implications for both individual travelers and the broader global community.

Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector across 2020 onwards, 2019 has been taken into account for a representative analysis.
* FY24 data from April to December 2023 only.

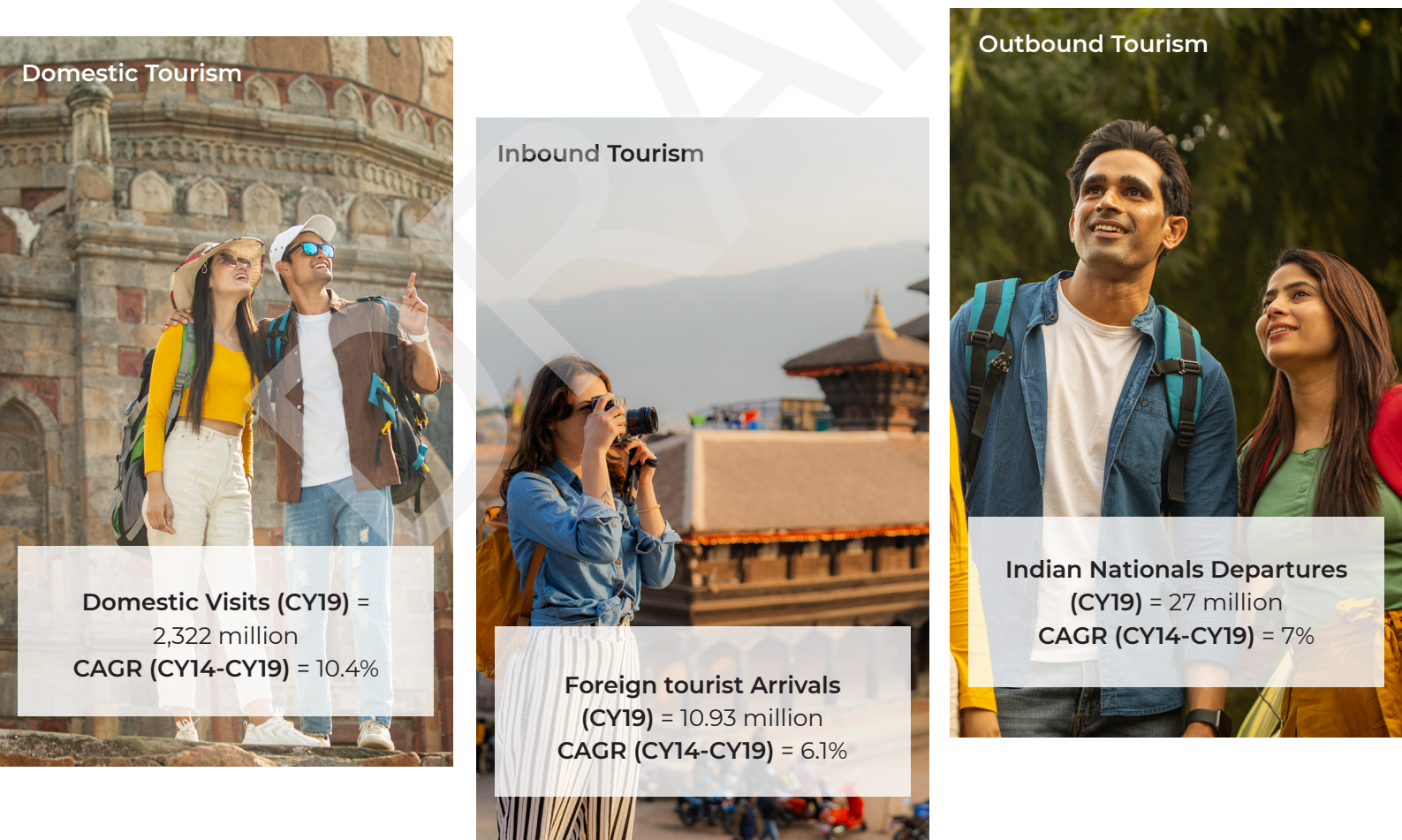
Source: Ministry of Tourism, Government of India

1 World Travel and Tourism Council (WTTTC)
2 Ministry of Tourism, Government of India

Types of tourism

Domestic, inbound, and outbound tourism represent distinct facets of the global travel industry, each contributing to the dynamics of economic, cultural, and social exchange. Domestic tourism holds a predominant position in major economies, representing more than 80% of the total expenditure on travel and tourism worldwide. Domestic tourism involves residents traveling within their own country, exploring diverse regions and attractions. It not only boosts the local economy but also fosters a deeper appreciation for one's own culture and heritage. Inbound tourism refers to visitors coming from other countries to explore the attractions and experiences of a host nation. This type of tourism contributes significantly to a country's economy in the form of foreign exchange earnings and promoting cultural exchange and understanding. On the other hand, outbound tourism involves residents traveling to foreign destinations, seeking new experiences and perspectives. Outbound tourism is indicative of a society's affluence and curiosity about the world, influencing global travel trends and contributing to the economies of various international destinations. Together, these three types of tourism create a complex web of interconnected travel patterns, shaping the multifaceted landscape of the global tourism industry.

Figure 2: Types of tourism



Source: Ministry of Tourism, Government of India

India offers a captivating range of experiences for tourists to immerse themselves in. From its majestic historical sites and ancient places of worship to some of the richest flora and fauna in the world, India caters to diverse interests. Travellers can savour the country's vibrant culture through colourful festivals, traditional dances, and mouth-watering cuisines. Its scenic landscapes offer mind-boggling diversity, from the serene backwaters in Kerala to the breathtaking mountain ranges in the Himalayas. With a blend of ancient traditions and modern charm, India promises unforgettable journeys filled with awe-inspiring moments for every type of traveller — the leisure traveller, the back-packer, adventure seeker, or medical tourist.

Themes of tourism

The global tourism landscape is witnessing rising demand for thematic tourism, reflecting a shift in traveller preferences towards more immersive and specialized experiences. This trend goes beyond traditional sightseeing, as tourists increasingly seek unique and themed experiences that align with their interests and passions. From cultural and heritage-themed tours to adventure, culinary, wellness, and eco-friendly journeys, the rising popularity of thematic tourism reflects a growing desire among travellers for meaningful and customized encounters, enriching their overall travel experiences. This shift in demand not only presents new opportunities for the tourism industry but also underscores the evolving expectations of modern travellers seeking more personalized and memorable journeys.

Figure 3: Themes of tourism





Heritage Village, Kohima

Sectoral trends

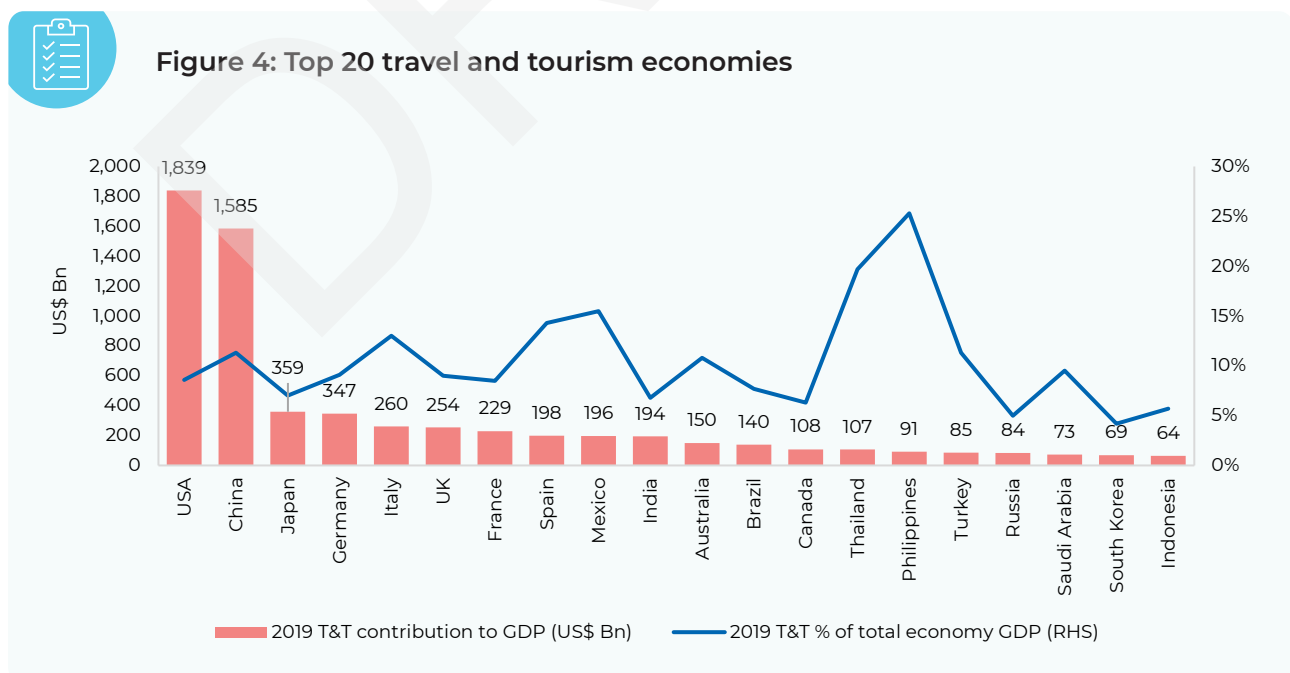
Global scenario

In 2019, the United States of America, China and Japan had the highest travel and tourism contribution to GDP, together accounted for 43% share of the global travel and tourism GDP.

International travellers spent more in the USA than in any other country. The United States of America's dominance in the travel and tourism spending pie can be attributed to its status as a global economic powerhouse attracting business travellers and hosting of numerous conferences, well-developed infrastructure, which includes an extensive network of airports and highways, facilitating easy access for travellers from across the world, the country's renowned universities and medical institutions draw international students and medical tourists, further contributing to its prominent position vs. other countries.

India is ranked 10th in terms of travel and tourism's contribution to GDP. The size of the country's industry at \$194 billion constituted 2% share of global travel and tourism GDP².

Among the top 20 largest travel and tourism economies, the Philippines leads in terms of the sector contributing the highest share to the country's GDP, at 25.3%, followed by Thailand (19.7%) and Turkey (11.3%). Recognising the significance of sustainable and inclusive growth, the Philippine Department of Tourism launched a tourism campaign and also introduced Save Our Spots, emphasising the need for responsible tourism practices.



Source: World Travel and Tourism Council (WTTC)

Global split of domestic and International spends

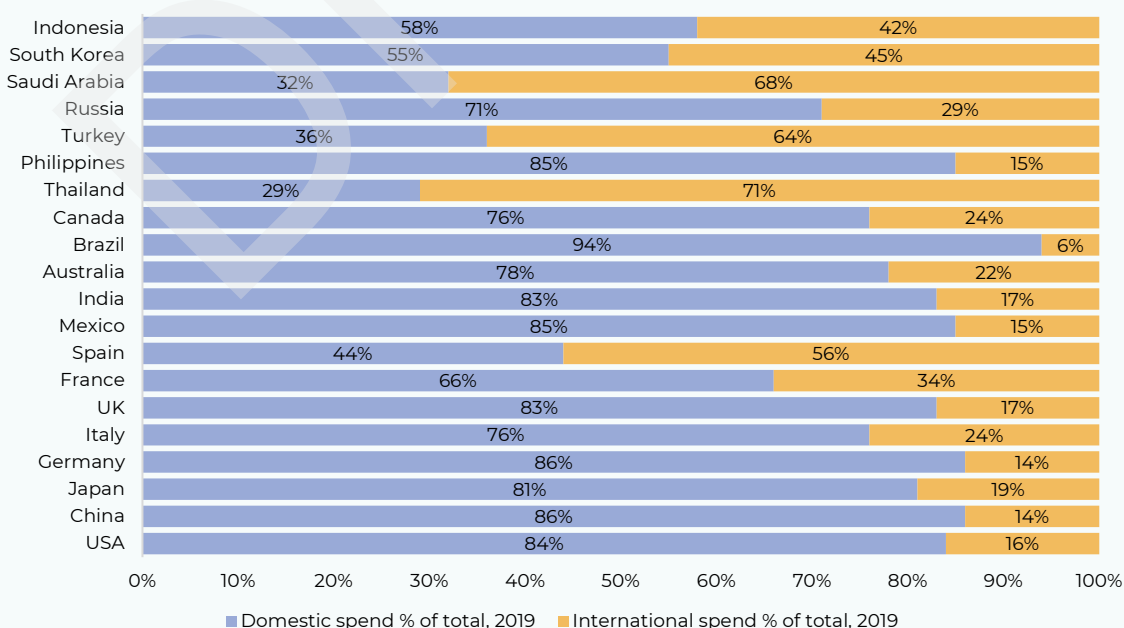
Domestic travel holds a predominant position in major economies, representing more than 80% of the total expenditure on travel and tourism worldwide. This dominance can be attributed to several factors, including the rise in disposable income and a growing inclination to spend among developing nations. The significance of leisure time deeply ingrained cultural values surrounding holidays and vacations, evolving travel trends, government initiatives promoting novel travel destinations, and well-established transportation infrastructure and economic links between regions within a country all contribute to the prevalence of domestic travel.

Conversely, countries with a higher proportion of international spending compared to domestic spending often form part of larger unions that facilitate visa-free intercountry transport. This is complemented by their proximity to renowned tourist destinations and a high per capita income, collectively driving an upsurge in foreign trips.

In India as well, domestic travel accounted for 83% of travel and tourism spending in 2019, attributable to the country's vast geographical footprint and cultural diversity, thereby offering an array of destinations and experiences, encouraging travellers to explore their own backyard. Moreover, affordability is a key factor, as domestic travel frequently presents a more cost-effective option compared with international journeys, thus widening its accessibility to a broader demographic. Additionally, the convenience of domestic travel, marked by linguistic familiarity, common currency, no requirement for visa enabling last minute travel plans, fewer legal procedures/requirements and cultural comfort, further contributes to its popularity.



Figure 5: Domestic and international split of travel and tourism spending



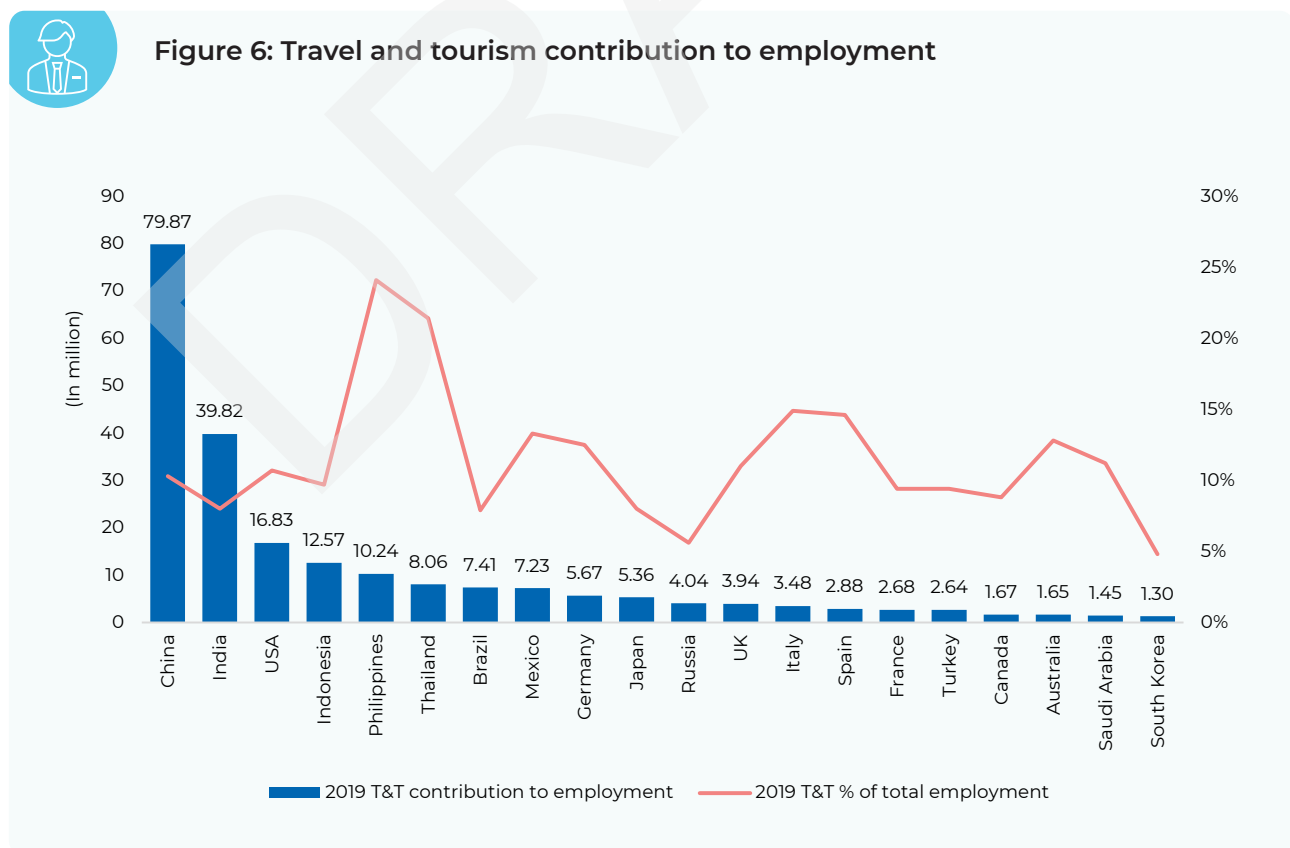
Source: World Travel and Tourism Council (WTTC)

This stands in contrast to Thailand, Saudi Arabia and Turkey, which are also significant travel and tourism economies, but where majority of the spending in the sector originates from healthy inbound tourism. Thailand's hospitality sector offers a wide spectrum of accommodation options catering to diverse budgets, thereby enhancing its appeal to a broad range of tourists. Additionally, the country's government actively promotes tourism and facilitates the process of obtaining tourist visas, signing air service agreements for direct flight connectivity, providing tax sops to the tourism eco-system further boosting international arrivals.

Tourism: An employment generator

India ranks second globally in terms of the travel and tourism sector's contribution to employment in 2019, behind China. The industry was responsible for providing a substantial 40 million jobs, equivalent to 8% of the country's employment. The sector has also been a significant engine of job creation in the hospitality and transportation sectors, providing opportunities to tour operators and local artisans. The sector's ability to generate jobs is underscored by its extensive supply chain, encompassing hotels, restaurants, travel agencies, and cultural attractions.

These employment opportunities extend across both urban and rural areas, directly and indirectly benefiting millions. Furthermore, the industry boasts a diverse workforce, encompassing individuals with various skill sets and backgrounds, including hospitality professionals, guides, drivers, and a substantial representation of female workers.



Source: World Travel and Tourism Council (WTTC)

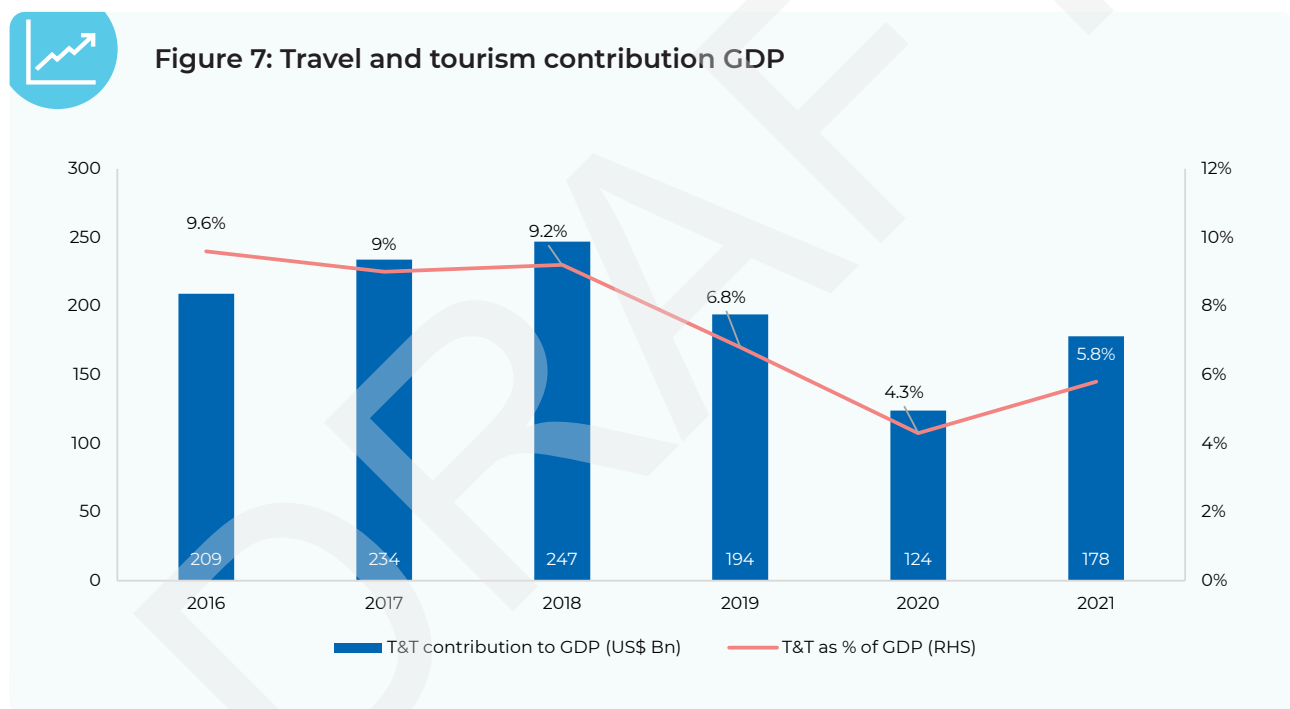
Trends in India

Tourism contribution to India's GDP

The travel and tourism industry has historically comprised a significant share of India's GDP.

The sector encompasses a range of segments, including hospitality, transportation, and entertainment contributing to job creation and income generation. India's diverse cultural heritage, historical landmarks, and natural beauty attracts domestic as well as international tourists, bolstering the sector's economic heft, and is a driver of employment opportunities.

In 2019, the sector contributed \$194 billion to India's GDP, representing 6.8% of the country's total economic output.



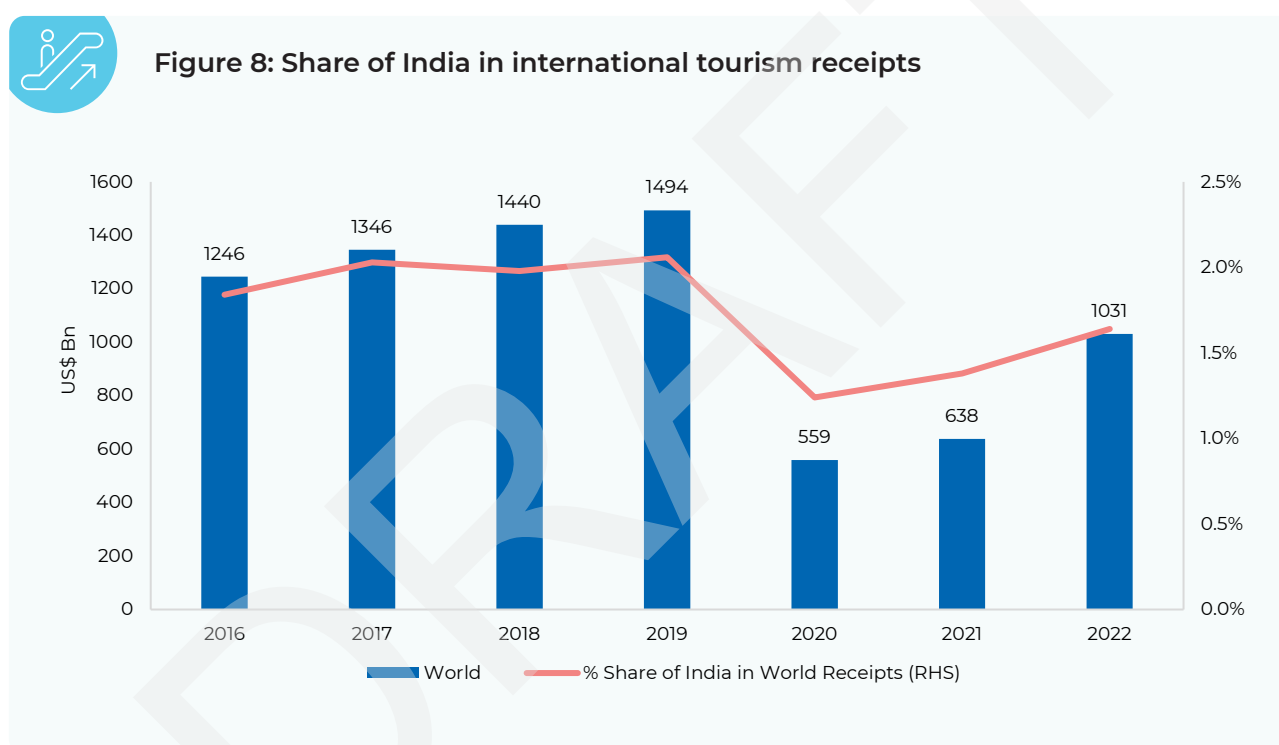
Source: World Travel and Tourism Council (WTTC)

Additionally, the country's growing share in global travel and tourism receipts can be attributed to efforts aimed at enhancing infrastructure, including improvements in connectivity and the expansion of accommodation options, making destinations more accessible for tourists. The rise of a burgeoning middle class with increased disposable income has, in turn, spurred heightened levels of domestic and international travel, further strengthening India's standing in global tourism receipts.

Foreign exchange earnings from Tourism

In 2019, India's foreign exchange earnings from tourism reached \$30.7 billion, accounting for 2.06% of world tourism receipts. This marked a significant improvement, with India climbing to 14th position in terms of share in world tourism receipts in 2019 from 18th in 2011.

In 2022, foreign exchange earnings from tourism in India recovered to 69% of pre-Covid-19 levels to \$16.9 billion. This represented 1.6% of the global share in world tourism receipts. It is noteworthy, though, that the rebound has been swift following challenges posed by the pandemic.



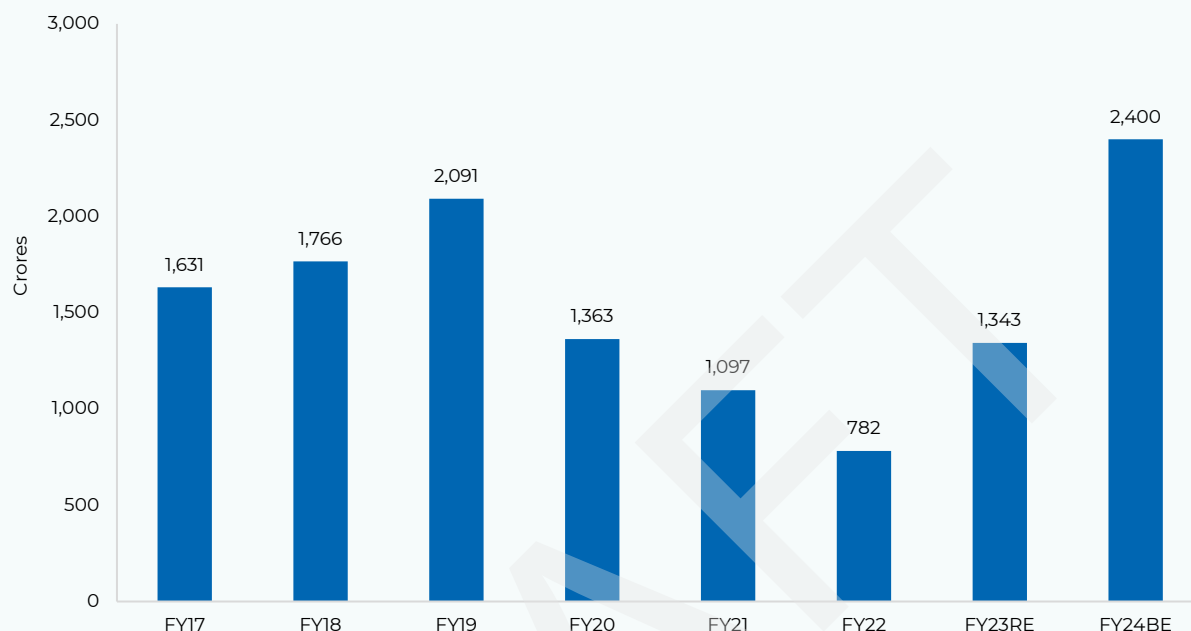
Source: Ministry of Tourism

Budgetary outlay to Ministry of Tourism

Since Tourism is a significant sector contributor to economic growth, job creation and entrepreneurship, the Government has been taking active steps to improve tourism infrastructure and encourage branding and promotion. The budgetary allocation to the Ministry of Tourism has been on an upswing over the years, peaking at Rs 2,448 crores in budgeted estimates for fiscal 2025 a 45% on-year rise over revised estimates for fiscal 2024.



Figure 9: Budgetary allocation to Ministry of Tourism

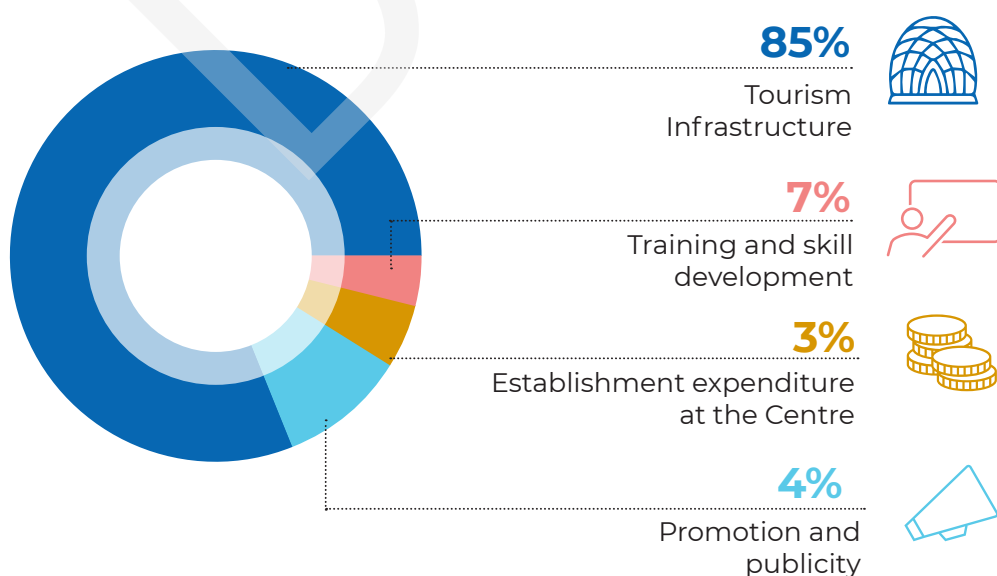


RE_Revised estimate; BE: Budget estimate

Source: India Budget-Ministry of Finance

In Budget 2024-25, from the Rs 2,448 crore allocated to the Ministry of Tourism, 85% of it was towards tourism infrastructure and about 7% for branding and promotions.

Figure 10: Budget outlay for Ministry of Tourism 2024-25



Source: Union budget, Ministry of Finance

Tourism in India

Apart from direct allocation to the Ministry of Tourism, capital expenditure on transport sectors (Roads and highways, Railways, Civil aviation and Shipping) also contribute to tourism infrastructure development. The budget for these sectors has increased more than 5x from 1,03,999 crores in fiscal 2015 to 5,56,802 crores in fiscal 2025BE. Initiatives like the National Infrastructure Pipeline and GatiShakti further drive infrastructure development, benefiting the tourism sector.

That said, the budgetary outlay is aimed at transforming 50 tourist destinations under the 'Swadesh Darshan Scheme,' with a focus on providing tourists a holistic and enriching experience. This emphasises the significance of infrastructure and border linkages in boosting tourism by providing connectivity to key tourist locations across states.

Further, with the centrally sponsored scheme 'Vibrant Village Programme' aims to generate employment by way of creating opportunities for livelihood generation through tourism and cultural heritage promotion. Also, encouraging states to establish Unity Malls in state capitals to promote regional products and handicrafts aligns with the 'One District One Product' initiative.

India's tourism sector also presents a substantial opportunity for private investment through the public-private partnership model. Such partnerships can drive the development of crucial tourism infrastructure, such as hotels, resorts, transportation networks and recreational facilities, catering to evolving demands of travellers. Moreover, these collaborations have the potential to elevate service quality, enhance visitor experiences, generate employment and foster sustainable growth of the sector. Elevated service levels of private partnership are visible in service oriented industries such as Airlines, Hotels and Airports in India and the world which have witnessed a manifold jump in productivity and service levels post privatisation.

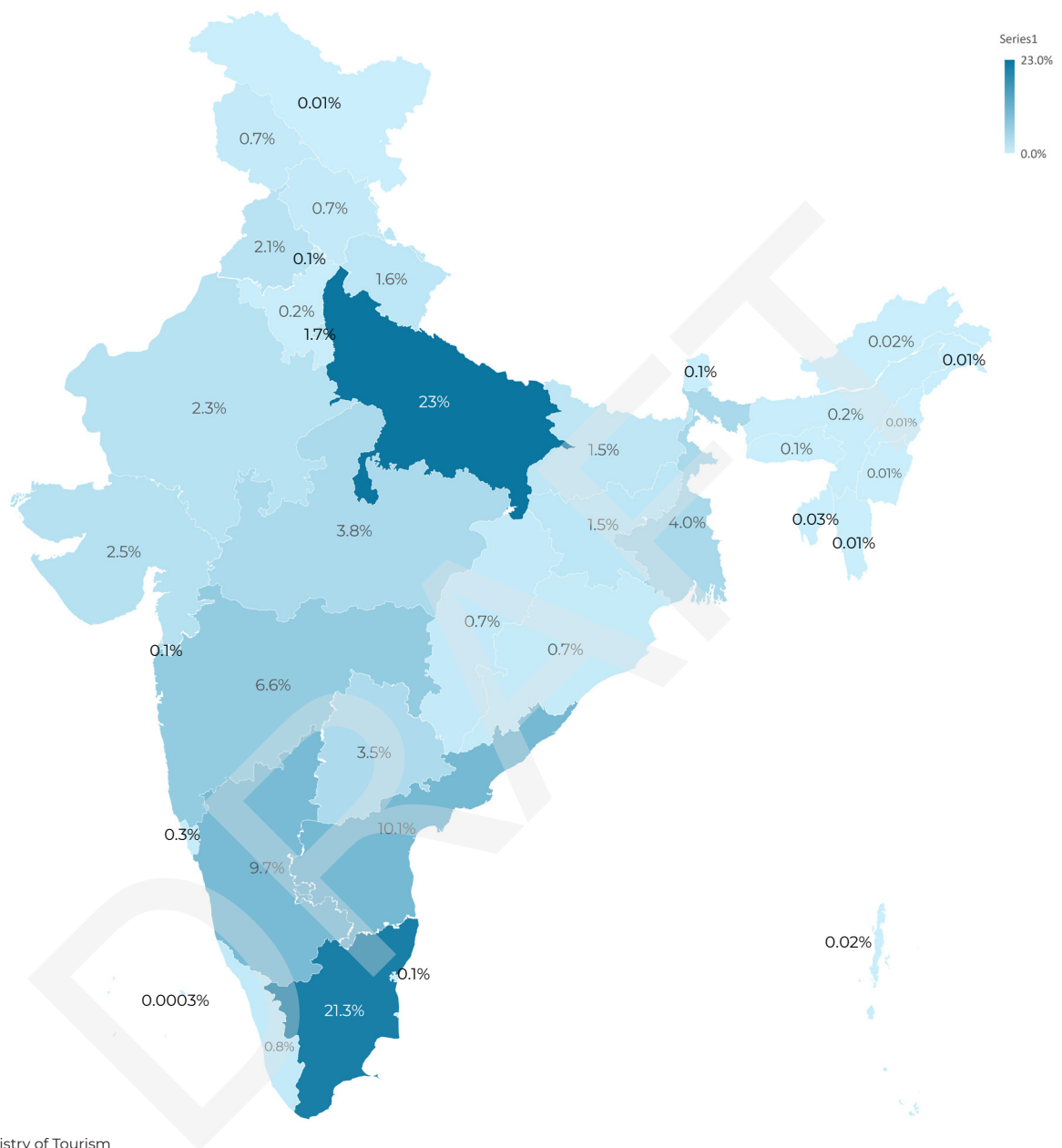
To be sure, by leveraging private investment and expertise, India's tourism industry can unlock its full potential, positioning itself as a global destination while fostering economic development and cultural exchange.

Tourism across states

Among the states, Uttar Pradesh was the top tourist destination in India in 2019, drawing 540 million visitors, thereby accounting for a significant 23% share of total tourist visit to states and union territories. Uttar Pradesh's popularity as a tourist hotspot can be attributed to its numerous sites of religious, cultural, and historical significance. The state government has proactively identified and promoted various tourism circuits, including the Ramayana, Braj, Mahabharat, Shaktipeeth, Adhyatmik, Jain, and Buddhist circuits, with the aim of attracting domestic as well as international tourists.

Tamil Nadu was second and Andhra Pradesh third, with Andhra Pradesh the foremost destination for religious tourism in the country. The Lord Venkateswara temple in Tirumala was the primary attraction, drawing the highest number of visitors.

Figure 11: State-wise tourist visits (domestic and international) in 2019



Source: Ministry of Tourism

Travel trade

Ecosystem players play a crucial role in promoting and driving the tourism sector, as they form a collaborative network of stakeholders that work together to enhance the overall travel experience and contribute to the growth of the industry. Tour operators and travel agencies act as intermediaries between tourists and service providers. They curate travel packages, offer personalised itineraries, and assist travellers with booking accommodations, transportation, and activities. Ecosystem players collaborate through partnerships and alliances to create seamless and memorable travel experiences. Their collective efforts drive growth of the tourism sector, generate employment opportunities and contribute to the economic development of destinations. By working together, they ensure that tourists have access to a wide range of services, enriching their travel experiences and encouraging repeat visits and positive word-of-mouth recommendations.

Figure 12: Number of approved travel trade service providers



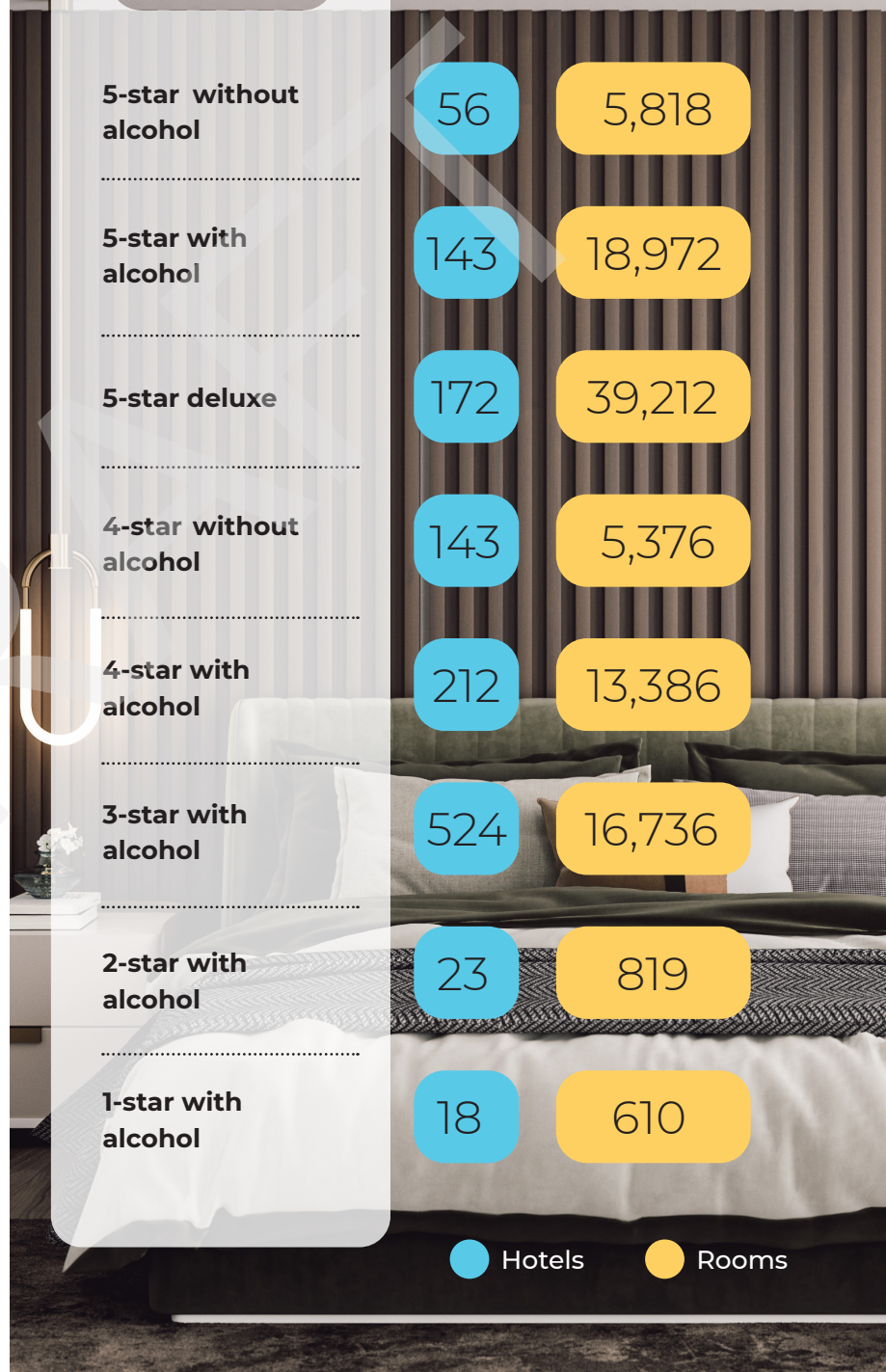
Note: Data as on April 30, 2023
Source: Ministry of Tourism

Accommodations

Hotels and accommodation providers are fundamental in providing a comfortable and welcoming stay for tourists. They range from budget-friendly options to luxurious resorts, catering to diverse preferences and budgets.

The Ministry of Tourism in India implements a star rating system to assess and categorise hotels based on the quality of their facilities and services. The classification ranges from one star to five star deluxe, heritage, and legacy vintage, ensuring that hotels meet the expected standards for different classes of tourists. The Hotel and Restaurant Approval and Classification Committee (HRACC) conducts inspections to evaluate and assign appropriate star ratings to hotels.

Figure 13: Number of approved hotels and availability of hotel rooms



Note: Data as on April 30, 2023; they do not represent an exhaustive list of all accommodations
Source: Ministry of Tourism



Palace on Wheels - Luxury train

Growth drivers



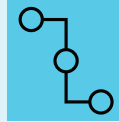
Rising incomes

- The growth in disposable incomes, driven by rising incomes across developed and developing nations as well as in India serves as a potent catalyst for the expansion of tourism as it provides the financial capacity to explore and engage in tourism activities both domestic and International.
- **World:** The per-Capita income for the world has risen from \$10,920⁴ in calendar year 2013 to \$13,330 in calendar year 2023.
- **India:** The number of taxpayers reporting incomes exceeding Rs 10 lakh has surged from 22,04,378⁵ in fiscal 2014 to 83,61,294 in fiscal 2022, reflecting a robust Compound Annual Growth Rate (CAGR) of 18%.



Diverse and vibrant destinations

- India has a lot to offer to tourists – from iconic historical monuments like the Taj Mahal and Red Fort to wildlife safaris in national parks. The country's scenic landscapes, serene beaches and vibrant cultural heritage make it a captivating destination that caters to a wide range of interests of global travellers.



Enhanced connectivity

- Improvement in connectivity, such as better flight connections and enhanced road/rail networks, open up a wider array of destinations and encourage travel.
- **Air:** The domestic airline industry's aircraft fleet increased from 395⁶ in fiscal 2014 to 726 in June 2023, while the count of airports doubled from 74⁷ in 2014 to 148 in 2023. India, a supply driven market where improved capacity drives airline passenger numbers, rising fleet of aircraft and increased number of airports aids in improving passenger numbers.
- **Railways:** The length of rail tracks has improved from 1,16,765⁸ Kms in fiscal 2014 to 1,25,190 in fiscal 2022.
- **Road:** Improving road connectivity, with the length of National highways having risen from 1,00,475⁹ kms in fiscal 2016 to 1,44,955 kms in fiscal 2023 aids in improving tourist flows. Improving road infrastructure coupled with rising sales of SUV's (accounting for 52%¹⁰ of sales in H1FY24 vs 14% in FY14) also aids in taking long-distance road trips aiding tourism.

4 International Monetary Fund

5 Income Tax Department

6 Directorate General of Civil Aviation (DGCA)

7 Ministry of Information and Broadcasting

8 Ministry of Railways

9 Ministry of Road Transport and Highways of India

10 Society of Indian Automobile Manufacturers (SIAM)



The pandemic boost

- Delays in obtaining international visas and stringent restrictions during the pandemic encouraged domestic tourism. Hassle-free accessibility of local destinations provides a convenient and enjoyable alternative, encouraging Indians to explore their country's rich offerings.



Rising trend of niche tourism

- Niche tourism, characterized by specialized interests and unique experiences, caters to diverse preferences and passions of travellers. Whether it's cultural, adventure, wildlife, wellness, or heritage tourism, India offers a rich tapestry of niche experiences. This trend is not only attracting a new segment of travellers seeking tailored and immersive encounters but is also driving economic opportunities for local communities. The promotion and development of niche tourism contribute to a more diversified and resilient tourism sector, ultimately enhancing the overall appeal of India as a vibrant and multifaceted travel destination.
- Medical tourism, as a niche segment, has seen traction in recent years, with medical visitors rising from 4,27,014¹⁰ in CY16 to 6,97,357 in CY19.



Digitalisation

- Improvement in internet connectivity and the widespread use of social media platforms have greatly driven domestic tourism in India. With easy access to travel information, online booking facilities and engaging content on social media, more Indians are inspired to explore the country's diverse destinations, leading to a surge in domestic travel and tourism activities.
- The count of internet subscribers surged from 198.39¹¹ million in 2013 to 895.83 million by the end of June 2023, signifying a rise in internet adoption from 15.4% of the Indian population in 2013 to 63.2% in 2023.



Amenities

- Enhanced amenities, spanning accommodation, transportation, and recreational facilities, play a pivotal role in shaping the tourism landscape. Quality amenities not only attract tourists but also encourage extended stays, increased exploration, and positive recommendations, fostering sustained tourism growth. Furthermore, in line with voluntary guidelines for hotel classification, the number of hotel rooms in India has risen from 75,353¹² in CY13 to 1,00,929 hotel rooms as of April 30, 2023. Number of tour operators have also surged from 188¹⁰ in CY13 to 795 as of April 30, 2023, further contributing to the evolving and enriched tourism infrastructure.

10 Society of Indian Automobile Manufacturers (SIAM)

11 Telecom Regulatory Authority of India

12 Ministry of Tourism



Rock Garden, Chandigarh

Government schemes and policies



Swadesh Darshan

The 2023-24 budget allocated Rs 1,412 crore to revamp the Swadesh Darshan 2.0 scheme for 76 sanctioned projects and 15 tourist circuits under the identified thematic circuit in 31 states and union territories (UTs).

- The scheme was launched in fiscal 2015, to:
- Develop tourism infrastructure
- Promote cultural and heritage value to generate livelihood in identified regions
- Position tourism as the main engine of economic growth and job creation
- Adopt a community development and pro-poor tourism approach
- Develop tourism services to improve visitor experience/interest



PRASHAD

The 2023-24 budget allocated Rs 250 crore to the PRASHAD scheme for development of 45 projects sanctioned in 30 states/UTs.

The scheme was launched in fiscal 2015, to

- Develop 50 tourist destinations
- Develop identified pilgrimage destinations
- Develop infrastructure, connectivity and border linkages
- Develop Vibrant Village Programme
- Build unity malls in the state capital
- Promote one district, one product
- Give central financial assistance (CFA) to the state governments for promoting tourism



NIDHI 2.0

NIDHI 2.0 (National Integrated Database of Hospitality Industry) is a digital database that maintains details of accommodation units, travel agents, tour operators and others.



Incredible India 2.0

Launched in 2017, the Incredible India 2.0 campaign signifies a transition from global generic promotions to targeted marketing strategies and specialised content creation. This initiative aims to spotlight niche tourism products, such as wellness and spirituality, in key existing and potential overseas source markets.



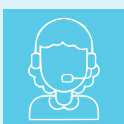
Adopt a Heritage

Launched in 2017, the Adopt a Heritage scheme promotes public-private collaboration to conserve and promote cultural and natural heritage. Individuals, companies and organisations can adopt sites, fostering maintenance and sustainable tourism, bolstered by expertise and funding. This initiative emphasises the importance of heritage preservation, community engagement and responsible tourism for safeguarding India's legacy.



Scheme of Capacity Building for Service Providers (CBSP)

The primary objective of the CBSP scheme, launched in 2020, is to meet the growing demand for skilled human resources within the tourism sector. While existing institutions offer education and training primarily for the organised sector, CBSP provides training and certification opportunities for the unorganised segments as well. This comprehensive scheme encompasses diverse training programmes, catering to newcomers' basic skill development and enhancing expertise of the existing service providers.



24x7 multilingual tourist info-helpline

The 24x7 multilingual tourist info-helpline assists tourists round the clock. This helpline offers information, guidance and support to travellers in multiple languages, ensuring they have access to essential information, recommendations and assistance throughout their journey.



Champion Services Sector Scheme (CSSS)

As part of a pilot initiative under CSSS, the Ministry of Tourism's Incentive to Tour Operators for Enhancing Tourist Arrivals to India scheme will extend financial incentives to select foreign tour operators (FTOs) and approved inbound tour operators from designated countries.



Scheme for Assistance to Central Agencies for Tourism Infrastructure Development

The scheme aims to develop tourism infrastructure at significant destinations through collaboration with central agencies such as the Archaeological Survey of India (ASI), Port Trust of India and India Tourism Development Corporation (ITDC). As not all states/UTs can be covered under CFA, this initiative promotes development by central agencies. Restoration of monuments and structures to their original form is overseen by expert agencies approved by central agencies. The Ministry of Tourism bears up to 100% of the project cost, not exceeding Rs 50 crores, focusing on upgrading the existing products and creating world-class tourism offerings.



Marketing Development Assistance (MDA)

MDA aims to promote and market India globally. The scheme extends financial aid to tourism departments of the state governments/UT administrations. Eligible entities encompass a range of tourism sectors such as travel agents, inbound tour operators, transport operators, hotels, bed & breakfast units, home stays, motels, guest houses, tented accommodation units, standalone restaurants, convention centres and online aggregators. Assistance includes sales tours, participation in travel fairs and exhibitions, road shows organised by the Ministry of Tourism, and online promotions of tourism destinations and packages through digital platforms.



Travel for LiFE Programme

The Travel for LiFE programme, part of Mission LiFE, advocates sustainable tourism in India by encouraging tourists and businesses to take simple actions that benefit the environment, local economies and communities. Aligned with Sustainable Development Goals, it focuses on specific, measurable and easy-to-implement actions under the pillars of environmental sustainability, biodiversity protection, economic sustainability and sustainable tourism certification.



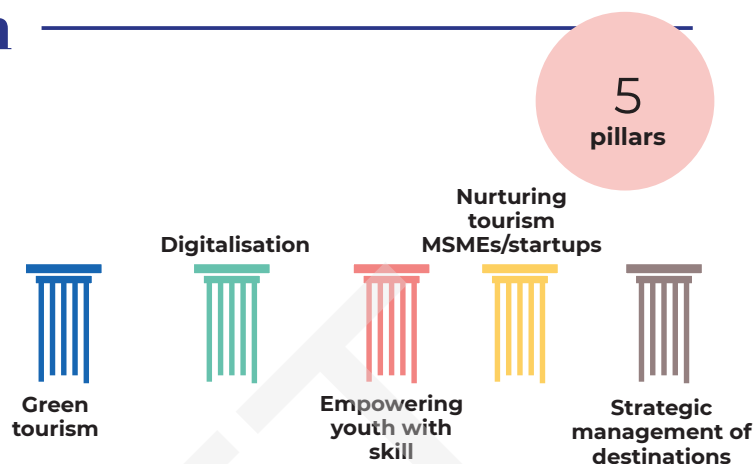
CFA to Information Technology

The Ministry of Tourism launched this scheme to facilitate the development of tourism infrastructure by providing financial assistance for projects such as monument illumination, preservation and cruise terminal development. This assistance is directed towards central agencies such as ASI, Port Trust of India, and ITDC, which own or manage these assets.

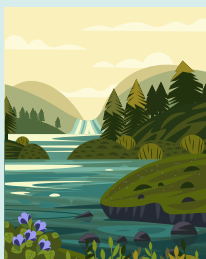


G20 Goa declaration

In the 2023 G20 meet, all the G20 Member Countries, Guest Countries, and International Organizations recognized the Goa Roadmap for Tourism as a vehicle for achieving sustainable development goals, the key deliverable of the tourism working group under India's G20 Presidency. The five priorities of the Goa Roadmap to be implemented are listed below along with some measures implemented.



Green tourism



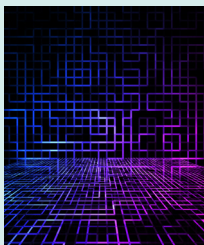
The tourism sector is highly vulnerable to climate change and at the same time contributes to greenhouse gas emissions. It holds immense potential as a catalyst for nature conservation, climate action, economic prosperity, circularity, cultural preservation, and inequality reduction to enhance societal resilience. Progressive tourism policies should encompass sustainable infrastructure, job creation, climate mitigation, biodiversity support, and the empowerment of local communities and vulnerable groups.

The Ministry of Tourism drafted a **National Strategy for Sustainable Tourism, 2022** emphasizing environmental, economic, and socio-cultural sustainability. This initiative aims to mainstream sustainable practices in the tourism industry, integrating resilience, inclusivity, carbon neutrality, and resource efficiency while safeguarding natural and cultural resources. Aligned with Goals 8, 12, and 14, the strategy focuses on inclusive economic growth, sustainable consumption and production, and the responsible use of oceans and marine resources.

The Ministry of Tourism has formulated **Sustainable Tourism for India - Criteria And Indicators, 2022** involves the adoption of sustainable practices and principles by tourism stakeholders such as tour operators, hotels, and local communities. India has implemented several policies and initiatives to promote sustainable tourism, including the National Strategy for Sustainable Tourism, which aims to make India a sustainable tourism destination.

Sikkim's sustainable tourism policy aims to balance economic growth with environmental conservation. Focused on preserving the state's unique biodiversity and cultural heritage, the policy encourages responsible tourism practices. Initiatives include waste management, community involvement, and promoting eco-friendly accommodations. By embracing sustainability, Sikkim aims to create a harmonious tourism model that benefits both visitors and the local ecosystem.

Digitalisation

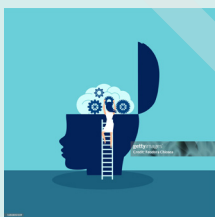


Digitalization is instrumental in promoting tourism in India, particularly for micro, small, and medium enterprises (MSMEs) across the tourism cycle. The focus should encompass digital training, infrastructure access, and innovative policies to empower these businesses. Integrating digital tools enhances travel facilitation, safety, and the overall traveller experience, promoting environmentally sustainable practices and local offerings through digital channels.

The National Integrated Database of Hospitality Industry (**NIDHI**) represents a significant digital leap, streamlining information and enhancing hospitality service efficiency. Simultaneously, the System for Assessment, Awareness & Training for Hospitality Industry (**SAATHI**) leverages digitization to empower stakeholders, fostering a tech-savvy and well-trained workforce. **Digi Yatra**¹³, a digital transformation in air travel, enhancing the passenger experience through streamlined digital procedures. Collectively, these initiatives underscore the pivotal role of digitization in advancing the tourism and hospitality industry, contributing to workforce development and improving overall travel efficiency.

The Government of Andhra Pradesh has digitized the entire process of visiting one of the most popular temples- Balaji temple at Tirumala. Government of Uttar Pradesh has also digitized the night visit to Taj Mahal on five full moon nights of every month. Further, with the launch of the Digi Yatra mobile applications, the check-in and pre boarding process has led to easier and quicker travel experiences amongst air passengers. Similar models can be replicated at other tourist and transport locations.

Empowering youth with skill



Tourism courses should be remodelled and upgraded to pave the way for inclusive and sustainable job prospects. Stakeholders should also collaborate to cultivate a resilient, sustainable and inclusive tourism workforce. Identifying skills gap and designing customised training opportunities to empower vulnerable groups, as well as promoting non-discrimination and implementing targeted strategies to address inequality are the key.

Ministry of Tourism has launched "Hunar Se Rozgar Tak" in year 2009-10, a sub-scheme of the "Capacity Building for Service Providers (CBSP)," providing financial aid to institutes for skill development. It focuses on individuals seeking employment skills, aiming to enhance manpower, tap into tourism potential, and generate employment. The initiative covers health, hygiene, communication skills, and tourism awareness to uplift professionalism and unlock India's tourism potential.

¹³ Press Information Bureau

Nurturing tourism MSMEs/startups

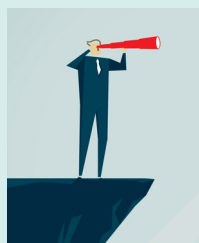


The significant role of MSMEs necessitates addressing challenges linked to digital and sustainable transitions, financing, scalability, market access, skills and value chain integration. Support for MSMEs is crucial in facilitating their journey towards economic and environmental sustainability, social responsibility and resilience. Emphasis should be on policies, regulations and interventions that foster change management, adaptability, modernisation, inclusive financing, entrepreneurship programmes and visitor awareness about tourism offerings

that benefit local cooperatives and vulnerable groups. The aim should be to combat informality in tourism and promote a shift to formal economies while ensuring decent work for all.

The Ministry of Tourism introduced the **Champion Service Sector Scheme (CSSS Scheme)** to enhance foreign tourist arrivals. This initiative aims to diversify promotional efforts in Short, Medium, and Long-haul countries, incentivizing high-end tourist traffic and active promotion of India tour programs by tour operators. Financial incentives will be extended to Foreign Tour Operators (FTOs) and approved Inbound Tour Operators under the CSSS Scheme, specifically designed to boost tourist arrivals to India.

Strategic management of destinations



The pandemic has accelerated a shift toward comprehensive destination management, focusing on governance, sustainability, inclusion, and resilience. Recognizing the key role of destination management organizations (DMOs), it is crucial to address economic, social, environmental, and risk-related aspects. Strengthening social dialogue and coordination among governments, stakeholders, and DMOs, along with initiatives like Sustainable Tourism Observatories, is vital for effective collaborative governance. Optimization strategies involve attracting visitors

in off-seasons, increasing expenditure, directing tourists to less-frequented destinations, and managing peak-season influx, contributing to a holistic approach in the evolving global tourism landscape.

Several countries and regions around the world have established effective Destination Management Organizations (DMOs) to promote tourism and manage destinations. Some examples –

VisitScotland (Scotland): VisitScotland is the national tourism organization for Scotland, responsible for promoting tourism and attracting visitors to the country. It focuses on marketing Scotland as a diverse and attractive destination with a rich cultural heritage and stunning landscapes.

New Zealand Tourism Board (New Zealand): Tourism New Zealand is the organization responsible for marketing New Zealand as a tourist destination. It showcases the country's natural beauty, outdoor adventures, and unique Maori culture.



Konark Sun Temple, Konark

Way forward

A. Enhancing infrastructure, connectivity and destination development

Connectivity and Infrastructure

A modernized and efficiently planned infrastructure enhances the overall travel experience, encouraging visitors to explore the country's diverse destinations.

Air: India has 148 operational airports as of 2023 and has announced plans for operationalising 230-240¹⁴ airports, including heliports and water aerodromes, by 2030. Expanding the UDAN scheme to encompass underserved and unserved tourist destinations, while also operationalising and commercialising helicopter and seaplane services to specific locations, will significantly enhance tourism in India. This strategic move will improve accessibility, connectivity, and overall travel experiences, enticing more travellers to explore the country's hidden gems and contributing to the growth of the tourism industry. Indian airlines have 1,000+¹⁵ fleet on order. India being a supply driven market should benefit from induction of aircraft in its fleet supporting domestic tourism numbers.

Rail: The Indian railways has announced plans for introduction of 3,000¹⁶ new trains. This addition will boost domestic tourism. Newer trains such as Vande Bharat, Vistadome coaches, additional heritage railways could be explored to boost tourism via railways.

Roads: With highway construction proceeding at a pace of 28.3 kms daily, India is projected to have 2 lakh km of national highways network by 2025¹⁷. Improved highway connectivity and rising sales of cars, particularly SUV's would drive an increase in road trips supporting tourism numbers. The current pace of highway construction should be continued to support road tourism numbers.

Ropeways: Implementing cost-effective aerial ropeway systems in hill districts is a strategic way forward for domestic tourism in India. The **Parvatmala Scheme**, a National Ropeways Development Programme, focuses on regions like Himachal Pradesh, Uttarakhand, Jammu-Kashmir, and the North-East, aiming to turn them into tourism hubs, fostering local development and generating employment. Union Minister Nitin Gadkari's ambitious plan involves developing over 250 projects, covering a ropeway length exceeding 1,200 km in five years¹⁸. With 70+ operational ropeways and ongoing projects by the National Highways Logistics Management Ltd, ropeways play a transformative role, enhancing accessibility, promoting tourism, and boosting the economy of hilly regions in India.

14 Ministry of Civil Aviation

15 Boeing and Airbus

16 Minister, Ministry of Railways

17 Ministry of Road Transport and Highways

18 Ministry of Road Transport & Highways

B. Focus on last mile connectivity

Last-mile connectivity stands as a crucial strategy for propelling domestic tourism in India, closing the gap between transportation hubs and tourist destinations, especially in remote areas. By bolstering efficient road networks and local transportation services, last-mile connectivity not only enhances the overall travel experience but also promotes the exploration of offbeat locations. Aligned with the **Swadesh Darshan scheme**, components like last-mile connectivity play a pivotal role in enhancing accessibility and infrastructure, fostering the sustainable growth of India's tourism sector.

Kerala's Skies Open Up: Heli-Tourism Set to Transform the Way You Explore

The state government of **Kerala** has initiated Heli tourism connecting 11 key destinations to bolster tourism connectivity. This initiative aims to minimize travel time, providing efficient access to popular sites and promising to redefine the tourism experience.

Seema Darshan Project: Honouring the triumph of brave soldiers

Nadabet, situated along the Indo-Pak border in Gujarat's Banaskantha district, has become a prime tourist destination, gaining additional recognition through the inauguration of the Nadabet Seema Darshan project by Union Home Minister Amit Shah on April 10, 2022. This project enhances the area's significance, offering visitors a chance to witness the captivating retreat ceremony by BSF jawans. With attractions like the T-junction, Zero Point, and Ajeya Prahari Smarak, Nadabet provides historical insights, particularly related to the 1971 war, fostering a deeper appreciation for our jawans and the nation's heritage. The Seema Darshan project, costing 1.25 crores, has developed various tourist facilities and special attractions, enhancing the overall experience for visitors.

C. Destination development

Robust infrastructure, coupled with strategic destination development, contributes to enhanced connectivity, making India an attractive and accessible destination for tourists, fostering sustained growth in the tourism sector.

The Ministry of Tourism dedicates over fifty percent of its expenditure to Plan schemes aimed at improving quality tourism infrastructure across states and union territories. The Infrastructure Development Division (IDD) focuses on vital projects, offering financial assistance to central agencies and supporting revenue-generating initiatives. The Union Budget 2023-24 allocates Rs 1,412¹⁹ crore for the Swadesh Darshan 2.0 scheme, targeting 76 projects and 15 tourist circuits in 31 States/UTs. Additionally, the PRASHAD scheme receives Rs 250 crore for 45 projects in 30 States/UTs, emphasizing holistic development and tourism promotion²⁰.

19 India Budget
20 Ministry of Tourism

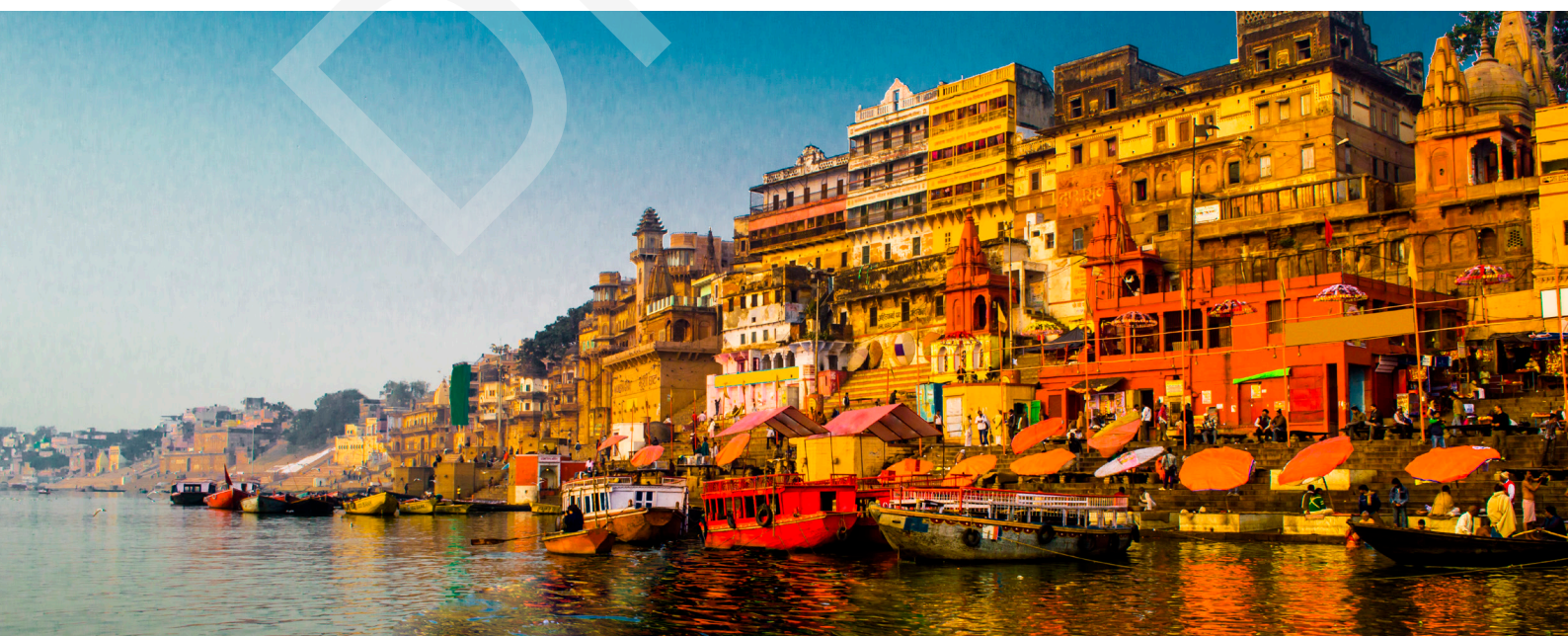
D. Focus on niche tourism offerings

Focusing on niche tourism offerings is a compelling strategy for advancing domestic tourism in India. With rich cultural and geographical diversity, catering to specialized interests enhances the overall tourism experience. Whether it's wellness retreats, adventure tourism, heritage trails, or eco-friendly getaways, India's potential for niche experiences is vast. This approach not only elevates the appeal for domestic tourists but also positions India as a multifaceted destination, accommodating a spectrum of preferences. Furthermore, the development of niche tourism contributes to local economies, creating sustainable opportunities for communities involved in these unique sectors. Emphasizing niche tourism offerings not only enhances the diversity of domestic travel experiences but also fosters economic growth in tandem with sustainable tourism practices. The government's proactive initiatives, such as the 'National Strategy on Ecotourism,' 'National Strategy for Medical and Wellness Tourism,' 'National Strategy for MICE Industry,' and 'National Strategy for Adventure Tourism,' underscore a commitment to diversify and elevate India's tourism landscape.

Medical tourism, as a niche segment, has seen traction in recent years, with medical visitors rising from 4,27,014 in CY16 to 6,97,357²¹ in CY19.

Unleashing the spiritual journey through travel circuits

The state government of **Uttar Pradesh** has taken initiatives like the development of Buddhist Circuit, Ramayana Circuit, Sufi Circuit, and various other spiritual circuits within the state to make Uttar Pradesh the most favoured and attractive spiritual tourism destination. The development of Pawan paths a circuit with Kashi Vishwanath temple at the centre point. It includes 100+ prominent temples of the city which are still unexplored.



Opening Doors to All: Ina Haat in Delhi Sets Standard for Inclusive Tourism Experiences

Delhi Ina Haat stands as a statement to **Delhi** governments initiative to inclusive tourism. This initiative integrates accessibility features, encompassing ramps and specialized services. There are designated parking spaces, assistive technology for the visually impaired and trained staff to provide assistance. These measures enhance the overall accessibility fostering an inclusive atmosphere.

E. Developing tourism for different categories of travellers

Considering the vast age and income demographics of India, different tourism activities should be established. By tailoring tourism activities to cater to the unique preferences of each demographic, India can foster a vibrant travel and tourism ecosystem that appeals to everyone, contributing to growth and sustainability of India's tourism industry.

Drawing inspiration from places like Antalya and Gdynia who have implemented accessibility measures including establishing fully accessible beaches to disabled which has special wheelchair sunbeds, conducting accessibility audits, and providing specialized training for lifeguards to interact effectively with individuals with disabilities.

The Ministry of Tourism has introduced a guidebook "Accessible Tourism Guidelines for India 2022" to establish best practices and standards for accessible tourism. These guidelines seek to sensitize stakeholders in the tourism sector to the principles of accessibility and inclusion, with a particular focus on understanding the diverse needs of tourists, especially persons with disabilities. Emphasizing universal design, the guidelines offer specific recommendations for improving accessibility across various tourism typologies. The

ultimate objective is to evolve a comprehensive framework for accessibility in diverse areas of tourism. Structured into ten sections, these guidelines aim to promote accessible tourism for all, ensuring that no one is left behind in enjoying travel experiences.

F. Marketing and branding

Promotion of India's diverse attractions coupled with a strong brand strategy, will enhance the country's global visibility, attract more tourists, increase revenue and establish the country as a top destination. In keeping with the times, sustainable tourism should be promoted to ensure long-term growth and enhance the country's global image.

Campaigns: The "Incredible India" campaign, initiated by the Ministry of Tourism, has played a crucial role in this endeavor. Launched in 2002, the campaign highlighted India's diverse heritage, landscapes, and traditions through print, television, and outdoor advertisements. Its success led to the development of "Incredible India 2.0," a sequel campaign aimed at a more targeted approach. This phase emphasized niche tourism segments like adventure, wildlife, and wellness.

Globetrotting Marvels: Whimsy, Flavor, and Virtual Delights Define Global Tourism Campaigns

Travel Wisconsin utilized a funhouse mirror at bus stops, showcasing local activities like tubing to spark interest. Canada enticed Europeans with pop-up restaurants featuring Canadian cuisine, coupled with a media push. Australia's "There's Nothing Like Australia" campaign incorporates pop-up events and virtual reality experiences to showcase diverse landscapes and iconic landmarks. Japan's "Cool Japan" campaign immerses fans in pop culture through anime conventions and themed cafes. Italy's "Italia: Live from Italy" employs live streaming for virtual experiences, offering glimpses of the country's culture, art, and cuisine to a global audience.

Crafting Experiences: FHTR's Digital Initiative Weaves Arts, Crafts, and Eco-Tourism into Rajasthan's Tourism Tapestry

The Federation of Hospitality and Tourism of Rajasthan (FHTR) has launched digital campaign, pioneering a strategic effort to showcase tourist destinations while intertwining tourism activities with the state's vibrant heritage of arts and crafts. This innovative campaign places an initial emphasis on eco-tourism in forest areas, fostering collaboration with local communities. The digital marketing initiative spans various platforms, solidifying the FHTR's role as a unified entity representing the tourism industry. By working cohesively, the federation aims to effectively market the state's diverse attractions and engage constructively with government bodies, forging a path towards sustainable and culturally rich tourism experiences in Rajasthan.

Digital marketing: In India's efforts to promote tourism effectively, digital marketing stands as the primary and overarching strategy, with influencer marketing playing a crucial role within this framework. By integrating travel influencers into digital campaigns, the country can effectively leverage their ability to showcase new destinations and experiences. Inspired by successful global initiatives like New Zealand's Wanaka Influencer Programme, India strategically invites digital influencers to spotlight various destinations, aligning with the trend of seeking authentic travel experiences.

Social Media: Engaging in social media is pivotal for individuals seeking to explore and discover travel destinations. Considering the vast user base, with Facebook boasting 2.99²² billion monthly active users and Instagram hosting 28 billion monthly active users as of March 31, 2023, India could benefit from formulating a social media policy. This approach can effectively spotlight the country's diverse tourism experiences, spanning cultural, natural, and niche tourism. As travellers leverage these platforms to instantly share their experiences, it naturally amplifies the promotion of tourism in India, potentially drawing a larger influx of visitors to the country.





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NITI Aayog